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COMPANY DEEP-DIVE

Former Forward Deployed Engineer at Palantir Technologies Inc Believes Product-Centric Model Drives Superior Growth and Margins

DATE PUBLISHED	INTERVIEW DATE	EXPERT PERSPECTIVE	ANALYST PERSPECTIVE	PRIMARY COMPANY
22 Sep 2026	08 Sep 2026	Former	Investor-Led (Buy-Side)	PLTR

SMART SUMMARY

Summary

The interview covered the structure and economics of forward-deployed engineering projects, collaboration models with third-party consulting firms, and the recurring revenue dynamics of a product-centric enterprise software company compared to traditional IT services firms.

EXPERT BACKGROUND

- Former forward-deployed engineer with 2.5 years of experience serving North American markets across multiple verticals, including energy, supply chain, manufacturing, and construction, with a focus on deploying and integrating advanced data and AI solutions for enterprise clients.

EXPERT SENTIMENT

- The expert views the company's forward-deployed engineering model as highly effective for driving recurring product revenue and customer value, especially compared to traditional IT services firms.
- The expert believes that the company's recurring revenue model and product-centric approach are key differentiators that enable higher growth and margins than pure professional services firms.
- The expert sees third-party consulting firms formed by ex-employees as the closest in capability to the company's own teams, while large IT consultancies like Accenture and Deloitte are capable but less specialized.

TAKEAWAYS

- Forward-deployed engineering projects typically involve a small team (e.g., two engineers and two strategists) working closely with customer engineering and business teams to deliver AI-driven platforms that automate and accelerate business processes.
- The majority of technical work is often performed by the company's engineers, especially when the customer lacks a strong IT team, but there is a trend toward enabling customers to become self-sufficient to maximize recurring product revenue.
- Project contracts usually bundle professional services and platform usage fees, with recurring product revenue starting at low seven figures per year and potentially growing significantly with increased usage and additional use cases.
- Collaboration with third-party consulting firms varies: ex-employee firms are most similar in capability, while partnerships with large consultancies like Accenture tend to be more independent, with each party focusing on their respective domains.
- Compared to other IT service providers, the company's product-centric model enables compounding recurring revenue and higher growth, as opposed to the lower-margin, staff-dependent recurring revenue of traditional consultancies.

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Table of Contents

Introduction and Background

Project Overview and Deliverables

Collaboration and Team Dynamics

Industry Comparisons and Insights

Recurring Revenue and Growth Analysis

Expert Bio

Former Entrepreneur in Residence at Antler. The expert was responsible for developing new startup concepts and business models, leveraging their deep technical expertise in artificial intelligence and machine learning within a venture-builder environment. Prior to their current role, the expert was a Forward Deployed Engineer at Palantir Technologies, leaving in May 2025. In this role, the expert was responsible for designing and implementing complex AI-driven solutions for industrial clients. Their key projects included building and patenting an ML and LLM-based workflow to find optimal land for greenfield wind power development (reducing finding time from a month to an hour) and writing a computer vision script for an automotive manufacturer to find interchangeable parts. Before that, the expert was a Software Engineer at SoundHound Inc. for nearly five years, where they developed end-to-end ML pipelines for keyword spotting (wakeup

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phrase detection) and optimized C++ inference code. The expert can speak to applying advanced AI, ML, and LLMs to solve complex industrial and commercial problems. The expert can also speak to Forward Deployed Engineering, end-to-end ML pipeline development (for keyword spotting/wakeup phrase detection), computer vision, synthetic data generation, and C++ inference optimization.

Interview Transcript

Client 00:00:00

Really today, I want to dive deeper into Palantir's forward-deployed engineer motion or projects. I want to hear your talk about Palantir's partnership or competition or collab petition with other IT services companies. Before the questions, maybe you can walk me through your tenure at Palantir and your specific roles with the company.

Expert 00:00:22

Yeah. I was at Palantir from February of 2023 to May of 2025, so about one and a half years. During that time, I was a forward-deployed engineer, serving mainly the Canadian and the United States market. I worked in a variety of verticals, including oil and gas, renewable energy, power generation, supply chain logistics, warehousing, manufacturing, automotive, trucks, grocery stores. I think that's mostly it. Construction.

Client 00:00:55

Got it. If I can just follow up on your background, 1.5 years.

Expert 00:01:00

2.5 years.

Client 00:01:03

You are right. Those years were the heights of Palantir's stock price. The stock is still a rocket ship today. Why did you leave Palantir?

Expert 00:01:14

I wanted to do my own start-up.

Client 00:01:18

Okay. What exactly is your own start-up in terms of what you do?

Expert 00:01:24

Yeah, sure. A couple of different things, but the one that I have worked the longest on is proposal automation for architectural engineering and construction firms. The way a lot of these companies make money is when they receive tenders and they send bids on them, and then they have to do costing. Sometimes they have to do artistic tenders. Sometimes they have to do a proposal. What we do is we use LLMs to automate that entire process. The AI scrapes the Internet, finds the tenders, uses the company's own documents and previous human-written proposals to write a new proposal.

It allows the human to verify and edit it. Once a human is satisfied, the AI goes and sends it off. One of the customers, we have more than doubled their tenders. Typically, prior to us, they were sending at about a rate of 6,000 proposals a year. Now they are sending about 15,000 proposals a year with the same headcount.

Client 00:02:30

Cool. With that all in the background, let's maybe dive into the questions. I will open with overarching or higher level question. I want you to walk me through one of the bigger projects, one of the bigger clients of yours. What exactly was the client asking for? What exactly did you or did your team do with Palantir at this customer, and what was the outcome?

Expert 00:02:54

Yeah. I can walk you through a whole bunch of different clients. Do you have any preference in terms of vertical or anything like that?

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Client 00:03:04

Not really. Maybe something just AI-related. As far as, this is your major vertical, or this is a major client, like a household name, that will be helpful.

Expert 00:03:16

Okay. There was this one client, and they were an electricity generation company, and they wanted something that would help in their capital acquisitions department, or capital acquisitions. They were rapidly growing wind plants, and they said, "Hey, there are a lot of companies that are rapidly growing wind plants, and land is starting to become scarce, even though North America is pretty huge. We want to be able to evaluate and obtain the next best possible land before our competitors do and develop wind plants on it."

What we did was we gave them a platform where we made for them a platform that was a combination of using traditional machine learning to predict wind potential and so on, but also using LLMs to scrape various news data, various contractual data, various land record data, and then use that and run that at scale across every available parcel of land in North America that they would feed in and give them a heat map of where the most valuable pieces of land are from an ROI perspective in the sense of what do these parcels of land cost and how much money do they stand to make on these parcels of land.

I am going to pause there. Does that make sense on a higher level before I go deeper into the lower-level stuff?

Client 00:04:37

No, that's crystal clear. You said you want to dive deeper into that, so please do. Please focus on what was the outcome of the project. Is it like a dashboard? Is it a basket of potential targets? What was the process? Did you work with their own employees, their engineers, or did you work with Accenture's, all that kind of stuff. That's most valuable to us.

Expert 00:05:02

Yeah. I think you might be asking for two different things. You might be asking for both the outcome and the deliverable. The deliverable was a platform where they could feed in the things, and it would run the processing, but a dashboard that would give them a short list of different parcels of land that were evaluated to be of high ROI for them. That's the deliverable. The outcome, which is what they really care about, was that it would typically take a latency period for evaluating a parcel of land. At least doing this preliminary analysis of a parcel of land would take about a month like three or four individuals, and we cut that down to overnight.

They would input that parcel of land, and then the LLMs would go and automatically scrape that data, run that data. The next day, they would have all their data crunched, both quantitative and natural language data that would typically take them a long time as well as more resources to do. That was the first outcome, and the most LLM-specific outcome. There were other outcomes, which was their CEO said to us directly that this was a very important problem for them, and typically a lot of their data was siloed. It was in different places. I remember his one quote was, "Not one person can give me an overview of what is going on with all their acquisition process."

He would have to go to different places and different departments to get a full picture of something. Now he had something that was a full picture at his fingertips. We brought all their data streams together. It wasn't just a dashboard. It evaluated things on a much quicker basis. I think that's the outcome. I think I told you about the deliverable as well. What were your other questions?

Client 00:06:57

How large was the deployment from your perspective? How many engineers from Palantir? Did you work with customer's own engineer team? Did you work with any partners like Deloitte or Accenture? What was the whole process like?

Expert 00:07:13

In this particular case, we did not work with any partners, Deloitte or Accenture. We did work very closely with the customer's engineering team. It was four people from the Palantir side. Have you heard of the terms Deltas and Echos?

Client 00:07:31

No, I have not.

Expert 00:07:33

Okay. Deltas are forward-deployed engineers, and Echos are deployment strategists. They do mainly the same thing, but the main difference is that Deltas are more technical. Echos do a lot of the stuff that Deltas do, but not the technical stuff. They will handle everything from relationship management to user training to scoping out workflows, to building things that don't require a lot of technical stuff, so understanding what the customer is doing, understanding the business logic, encoding the business logic, and so on. On this project, there were two Deltas and two Echos.

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Client 00:08:12
Okay. What about a customer's own engineer? You said you worked closely with them.

Expert 00:08:19
Yeah. There were multiple engineering teams from the customer. We had definitely a couple of points of contact. The multiple engineering teams from the customer side, we had their ArcGIS team, which looked at for the geographic terrain and other information. We had their electricity team, because they had several teams that were doing it. We had their land acquisition and finance team, which were less engineering and more business people. These were the three teams that we worked with.

Client 00:08:52
Can I generalize a little bit and say most of the heavy lifting, 99.9%, is done by Palantir? The customer's engineer, they are there to help to point you in the correct directions, but they are not really doing much work. Is that right?

Expert 00:09:08
In some projects, yes, that is the case. In other projects, even in this one, I would say, 90% of the work was done by Palantir’s engineers, which is not always the case. In this case, most of the work was done. Cases in which a lot of work would not be done is especially where we want and the customer wants a stronger handoff. The customer wants a bigger involvement of its own engineers because the customer does not want forward-deployed engineers forever. Even Palantir says that they want to be more of a product company and less of a forward-deployed engineering company despite their forward-deployed engineering model. They will say that they also don't want forward-deployed engineers.

Forever, they would want the customer to become self-sufficient and continue to pay Palantir without Palantir having expenses on their budget. Think of it this way, once the customer is able to use the product themselves, Palantir, they have very little cost of goods for what they're delivering. Otherwise, if they're using FDEs and they're delivering professional services, they're paying for that person. They're doing payroll and human resources and all that other stuff. Palantir also wants to be able to gain recurring revenue without having that human personnel cost. From that perspective, then there will be significant involvement of the customer's own engineers so that they can take over this once Palantir is finished building.

Client 00:10:42
That makes sense. 90% of the work done by Palantir, is that the average or is it below or above from your perspectives?

Expert 00:10:51
I think it depends a little bit on the stage as well as the nature of the contract. Where there is not a strong IT team, 90% or 99% will very much be what it is. In those cases, Palantir might, for example, later on hand over its contracts to other people like third-party consulting firms. I am not sure if you have heard of Northslope and Ethicrithm and Fourth Age and so on.

Client 00:11:20
No, I have not.

Expert 00:11:22
These are basically firms of ex-Palantir forward-deployed engineers, and they offer the forward-deployed engineering service as professional services. They are similar to how there is a lot of AWS consulting firms and so on. They are like a Palantir consulting firm. They offer this service, and they offer it at a lower cost than Palantir.

Palantir is happy to recommend these platforms or these consulting firms to their customers, as Palantir does not necessarily want to manage this whole FDE thing. Long story short, for a lot of customers who do not have a strong engineering team, Palantir will do very much most of their stuff. Customers who do have a stronger engineering team and I worked with several of those, there will be a lot more hands-on from the engineering side.

Client 00:12:11
Got you. Last question before we go on to other projects and examples. Could you maybe share the financial scope of this project? How long was it? How big was the project? You mentioned that there is a professional service piece to it, there is a licensing piece to it. How was the project fee split between the two?

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Expert 00:12:36

Yeah. Typically, there is a few different contract models that Palantir has. There is that contract model that you are talking about, but there is also just baking in the professional services fee into the usage fee. Meaning Palantir will charge on a usage basis. They will compute what they think the usage would be for this particular customer and then they will go ahead and set that usage up, or as in, oh, if you store a gigabyte of data, you are going to pay this much. If you run this much compute, you pay this much. Typically, that will come out to a few million dollars a year. That will include forward-deployed services.

At the time I was there, forward-deployed services were valued at low seven figures per year per forward-deployed engineer, prorated. Basically, low six figures per quarter, meaning if Palantir gives you an FDE for a quarter, you pay $X for that. Of course, in this particular contract, you don't pay it directly. It's baked into what your anticipated usage would be, and your usage is priced accordingly. Of course, it doesn't just include the FDE. It obviously includes Palantir's own. First of all, it includes flow-through cost, which is the cost that Palantir incurs for hosting your software. It also includes your Palantir's own licensing fees.

Client 00:14:07

Yeah. In this project, or just on average for other projects as well, what's the typical SaaS revenue piece of it? I understand there is Palantir platform, and then you need to make some customization on top of it, and sometimes you productize a few things. What's the typical pure software, pure SaaS licensing fee per year for average projects, something like that?

Expert 00:14:30

Yeah, I think that's the one that varies quite a bit. It's the professional services that's more consistent and the flow-through costs that are more consistent. What you are talking about is the real lever that Palantir has. That is often based on, very early on in the project. Palantir's FDEs, what they will do is, super early on, they will start scoping out the project in terms of ROI. One of the recurring themes and actual deliverable an FDE is supposed to come up with is some kind of ROI estimate with justifications, like, "Oh, they are doing this." "Well, what's the ROI here?" Or, "They are doing that." Or, "What's the ROI there?" Palantir will then go and make its case.

Obviously, the customer will push back a little bit. The two sides will agree to something where they will be like, "Yeah, I think this is a good ROI," and then Palantir will then price its contract in accordance with that ROI. For larger companies with massive ROIs, Palantir will charge, or back in those days, we charged quite a bit more. For smaller companies with less ROI, it would just be a couple of million a year or so.

Client 00:15:49

Yeah. That's basically, from a first principle perspective, how all software works. I create value from various ways, and then that's the value created, and then you let me keep 5% or 10% of the value created. That's the licensing fee for my software. That's the same thinking, if I am not mistaken.

Expert 00:16:09

Yeah.

Client 00:16:10

Cool. Maybe can you give me another example from another vertical? This time I want to hear a project where you worked with Accenture, for example. I just want to hear the dynamic between you guys and then Accenture engineers, stuff like that.

Expert 00:16:26

Yes. There was a construction one we did where there was a very heavy engineering involvement. Are you talking about Accenture specifically or just any third-party consulting firm?

Client 00:16:38

It will be ideal if it's Accenture because I understand Accenture. Basically you guys work with a lot of IT services or consulting firms. I know there is ex-employee from Palantir. Accenture, they do have a pretty announced partnership with Palantir, so that will be ideal. If that's a little bit too hard where the project is not interesting, it's too small, we can use another partner. That's okay, fine.

Expert 00:17:00

Yeah, I did do one small project where there was some Accenture involvement. This was just a small pilot. This wasn't anything big. If you are open to a third-party, non-Accenture consulting firm, I can give you a much bigger project. The small one with Accenture would be in the

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supply chain vertical. The bigger one with a non-Accenture consulting firm would be the construction vertical.

Client 00:17:29

Let's hear about the supply chain with Accenture.

Expert 00:17:32

Okay. This was a small project. It was working with a warehouse supplier of sorts. They do storage, and they supply a lot of retail stores. They do a lot of storage for wholesales and manufacturers. There were multiple things going on at that same time. The project that we specifically worked on was very sort of logistics, almost scientific oriented, where we were like, "Hey, how can we set up your system so that we can maximize your infrastructure for both storing as well as maximizing the throughput through your facility?" In the sense that you are never logged or traffic jammed at one of your bays, perhaps.

What Accenture, I believe, was doing was a lot of work on their financial operations side, which was also being hosted on the Palantir platform. We weren't working directly with their engineers. As in, we were working directly with the engineers, but we weren't embedding with their engineers in the sense that we weren't working together. It would be more like, "Hey, this is how the platform works. Here are all the financial tools Palantir offers. Let me know if you need help. Okay, you need help. Let me do this little thing for you."

Other than that, they were independently getting that business logic, putting it in, building stuff, "Hey, let me point you to like," we have something called Foundry University. Palantir has something called Foundry University. "Let me point you to how to use Foundry courses, and you do courses and all that other stuff." More or less, the business logic aspects were mainly independent of Palantir. Here is where we were cohabiting the same space, and this was also a small project.

Client 00:19:23

Got you. Basically, who owns the customer relationship? Did Accenture bring you guys in, or did you bring Accenture in?

Expert 00:19:33

No, I think the customer owned the relationship. As far as I remember, we didn't bring Accenture in, the Accenture did not bring us in. The customer contracted both Palantir as well as Accenture. Customer had a pre-existing relationship with Accenture. We came in and now the customer wanted Accenture to work with our platform.

Client 00:19:59

That makes sense. Maybe we can move on to the construction project you were talking about. That was with a third party you were talking about.

Expert 00:20:08

Yeah.

Client 00:20:10

Yeah. Maybe you can walk me through what exactly did you accomplish or basically the same set of questions?

Expert 00:20:17

Yeah. This construction, there were a whole bunch of multiple projects, mainly with respect to a lot of back-office automation, which in construction means like, "Hey, paying invoices, doing purchase orders," all that stuff. A lot of like, "Hey, cost forecasting and so on." We were building a lot of these things. We would have daily stand-ups that involved both, mainly the customer's own engineers, but also the third-party contractors. We ourselves were a third-party contractor to this construction firm.

There were entire teams of third-party contractors who would be taking care of, let's say, some of their automation stuff, that we would liaise with and try to ensure that our tools were working with their tools. Is there something specific you want me to talk about, or you just want me to talk about the whole project top to bottom?

Client 00:21:13

The point that I am particularly interested in is really how did you work with this one third-party consulting firm, and how did you divide and conquer? What was the outcome for that joint project and how many engineers from either side, stuff like that. That's basically the

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collaboration between Palantir and your partners from other consulting firms. That's the part.

Expert 00:21:36
Yeah, sounds good. I will start with the easy ones. From our side, there were two Deltas and one Echo, the two forward-deployed engineers and one deployment strategist, including me. From the other side, there was quite a bit. We had two different modes of working. One was, we had daily stand-ups in which both us, the customer's own engineers, as well as the third-party consulting engineers would join. We would run these stand-ups. We would assign different tickets to different people. They would hopefully take responsibility for doing with task, adding on our side, they not complete that task on time, and that we are responsible for completing that task if they do not, which is something that happened on multiple occasions.

That was one sort of mode of relationship, very closely tightly knit. The other mode of relationship was, "Hey, you have this third-party contractor that are building this particular financial." Again, this was financial model, cost model, for a construction project. We want to bring this into the Palantir platform, and they have already been building it on their own side. How do we bring this in to our side?

We would go after them, try to get the data, try to get access to the data, try to get access to the financial model itself, the code, the equations, stuff like that, and then bring that into the Palantir side, go to them, be like, "Hey, is this working as expected?" and get their thumbs up. Otherwise, we would be working fairly independently of them in the sense that they would continue doing whatever they were doing. We were helping with the migration onto the Palantir system of what they had been building.

Client 00:23:22
Got it. If I take a step back and ask you to rate the different third-party consulting firms, Accenture, Deloitte, the ex-Palantir employee ones, who would you think is the closest to Palantir from a capability perspective?

Expert 00:23:36
Okay. There is one way of answering this question that is, the consulting firms most similar to Palantir. Remember earlier in the conversation, I was telling you about these Palantir consulting firms that are by ex-Palantir engineers?

Client 00:23:51
Yeah.

Expert 00:23:52
I would say from one perspective, they are the most similar for a variety of reasons. One is that they function very similar to how Palantir does, because they are providing Palantir services, as well as formed by ex-Palantir engineers. They also have that similar capability because they have that Palantir echo and so on. Does that make sense?

Client 00:24:14
Yeah. Speaking of which, do you think Accenture, Deloitte, and then there is Infosys or Cognizant, those India-based IT service companies, or maybe EPAM, for example. Do they even come in close in terms of the type of project they can do, the capabilities they have compared to Palantir? If so, which one is the closest?

Expert 00:24:36
Yeah. Based on my understanding of Infosys as well as Tata, which is a little bit India-based, versus Deloitte and Accenture, I think Deloitte and Accenture have a lot more capability than the India-based ones, because of understanding business logic well and being able to work with business holders. The advantages of Infosys and Tata have historically been, "Hey, we can code really well, and we have got cheap and competent engineers," but that has mainly eroded because of agentic coding tools and a lot of technical tools. The real leverage these days is how well can you understand the business and so on. They have that advantage, Deloitte and Accenture.

Client 00:25:18
Got you. Speaking of Deloitte, Accenture, can we maybe talk about their unit economics a little bit, if you happen to know? One engineer from Palantir, you said is about low seven figures per year, and then you prorate based on that. If they do some sort of similar work, what's their yearly rate or so?

Expert 00:25:37
I don't know of Deloitte and Accenture's yearly rate.

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Client 00:25:41

Okay. When you say they are closer in terms of capabilities because they have a consulting arm, they have been doing this project for years, they understand business better. I totally get that. If you say Palantir's capability in terms of automating back-office processes, like in the example you just mentioned, the capability from Palantir is 100%. Accenture, Deloitte, that's how much, 50% or 80%? What about the IT service guys from India?

Expert 00:26:13

As in one engineer of a Palantir engineer?

Client 00:26:16

Yeah, if I ask you to put their capability into perspective. If Palantir is 100%, then what about Accenture? What about India-based IT services companies?

Expert 00:26:29

Yeah. I think it depends a little bit on the domain. These would vary a lot, and these are hard guesses, but I would say Deloitte and Accenture would be maybe around 80%. The India-based companies, from a technical capability perspective, would be around maybe 70%, 80%, or maybe let's say 60%-80%. From a business logic perspective, they would be around maybe 20%-30%. Again, it would really vary. In some cases, they would be absolutely useless. In other cases, they would be fairly good.

Client 00:27:10

Okay. 20%-30% if there is a heavy involvement from a business logic stuff.

Expert 00:27:17

From a business logic perspective, but from a technical perspective, they are better.

Client 00:27:23

Got you. Speaking of AI and agents, I understand Anthropic or OpenAI, they also have this forward-deployed engineer motion, if you will. Did you ever run into those teams or those project where you worked with those two fronts?

Expert 00:27:38

I understand DeployCo.

Client 00:27:40

DeployCo. Got it. Did you ever work on those projects, or what was the project solving for?

Expert 00:27:48

When I said DeployCo, DeployCo is the forward-deployed arm of that.

Client 00:27:53

No, the DeployCo means what?

Expert 00:27:57

DeployCo, I think it means the same thing. It is the forward-deployed engineering arm of OpenAI.

Client 00:28:05

Got you. You said you were working on a project side by side with them, or did you compete?

Expert 00:28:11

No. DeployCo is a recent thing.

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Client 00:28:15

Got it. In terms of project they do, is it materially different from what you can do at Palantir, or is it pretty much the same thing?

Expert 00:28:23

No. It's not very, very different, but it is significantly different.

Client 00:28:29

Got it. To your knowledge, maybe you can give me a couple of examples, how different those projects are?

Expert 00:28:35

Absolutely. Keep in mind, Palantir offers a fully self-serve platform, completely ready-made. Palantir has two arms. They have this product arm, let's call it product arm, and then they have the forward-deployed engineering arm. Most of the site reliability, cloud infrastructure, the actual product itself is all handled by the product arm, which means that the forward-deployed engineers, we don't have to deal with a lot of these things. Meanwhile, OpenAI does not have a significant infrastructure or cloud infrastructure or product arm. Their product arm is mainly their models and stuff, and their harnesses around that, as well as SDKs and so on. They don't have that.

What forward-deployed engineers at DeployCo have to do is they actually have to build everything for these companies. If these companies need a cloud migration, they have to do that. Palantir, we have also done cloud migration. They have to go ahead and build the whole infrastructure. They have to go ahead, because you don't just put it in an OpenAI model. You have to build an application with it. You have to put it in our cloud. You got to make sure it's reliable. You have to build the service foundation, how to build that whole architecture. DeployCo has to do all of that. Palantir FDE did not have to do all of that.

That's mainly because the Palantir product team would take care of that behind the scenes because one of the main things about Palantir product team was they would give that platform, and Palantir FDEs would be pushing Palantir's own platform onto their customers. They wouldn't want to use anything else except for that, except as a means of increasing usage on the Palantir platform. If you want, I can also talk about Google's FDE model.

Client 00:30:39

Could you maybe give me a sense of OpenAI's DeployCo? What's the size of the team? Usually, how many people working on a typical project, and what's the scope of the project in terms of the dollars and stuff like that? Just give me something to compare with Palantir.

Expert 00:30:56

Okay. A couple of things. First of all, DeployCo is new. It's only three months old. They don't have that much of a history. They are still trying to figure out what they do. That's the first thing. In terms of the second thing, in terms of number of engineers, usually for now it is just two engineers. They will typically go in pairs to do things. There is just a couple. In terms of contract value, I don't know. In terms of, let's say, the speed and cadence, it sounded very much like a Palantir type speed.

I would put the DeployCo engineers are a full 100% because I think you were asking, rank the Deloitte and Accenture engineers and the Infosys engineers. I would say the DeployCo ones are a full 100%, possibly even maybe 110%, because DeployCo is very much targeting entrepreneurs and co-founders and people who have done start-ups before to come on their team. They are very much targeting a very high caliber, whereas Palantir would not always target a very high caliber of engineers.

Client 00:32:16

Got it. You were saying something, you want to talk about Google as well? That might be interesting. Please continue.

Expert 00:32:25

Yeah. Their work, as far as I can tell, obviously they will build stuff out with Gemini. They will do quite a bit of that in Gemini and Veo and a lot of these other Google products. Their biggest thing is setting up and scaling and migrating people onto the GCP cloud platform. That's a huge deal for them. It's very focused on getting people onto the GCP platform and building things within the GCP platform. It's setting up some kind of AI within the GCP platform, but also letting them use the Gemini endpoint.

Keep in mind that for both OpenAI and GCP, for both ChatGPT models, like OpenAI models, and Gemini models, they are very interchangeable. If you are on a Palantir platform, Palantir will technically pretend that your data is yours to take, but where are you going to take your data? What's interchangeable with Palantir? You could download your data, but where are you going to take it? What are you

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going to interchange Palantir with? You are stuck with Palantir, which sucks from the customer's perspective. If an OpenAI engineer comes and builds this whole great AI transformation application for you, all you got to do is, it's like a quick back-end change to simply replace OpenAI models with Gemini models, for example. Does that make sense?

Client 00:33:53
Yeah.

Expert 00:33:55
Anyway, OpenAI, they still do that, and they get people on their OpenAI models, but Google, they will try to push and promote the Gemini models and their Veo models and so on, but they are very focused on the whole infrastructure, the cloud infrastructure play there. It's very focused on, hey, how do you get people on that? How do you build RAG systems and stuff like that? How do you use these Vertex AI harnesses and put them in the cloud, and so on.

Client 00:34:25
Okay. Maybe just to move on to a couple of questions. If we zoom up a little bit, Palantir has been growing at triple digits or high double digits. With the help of this forward-deployed engineer motion, if it will, but at the same time, you see Accenture, the Indian IT service companies, they are not growing as much. They are not even accelerating. They are growing at low to mid-single digits, not accelerating. From your observations, your understanding, what's really causing this divergence of these two cohorts of IT service companies?

Expert 00:35:05
First of all, Palantir is less of an IT servicing company. They have an actual product. That product really compounds their revenues. An FDE, when a Tata or a Deloitte FDE leaves, that recurring revenue also leaves. When a Palantir FDE leaves, that recurring revenue continues, now at even bigger margins because you don't have that expense. It's not a fully fair comparison. These are very professional services companies. They might have some products, but not a lot, and there is not that big of a recurring play. That's one thing.

The other thing is that Palantir has a massive presence in the government. Even though Palantir's commercial sector is also expanding, that government revenue is typically lumped in when it comes to revenue measurements. Most people, when they measure Palantir's revenue, they won't exclude the government side. That's another big one.

Client 00:36:10
Just to quickly follow up here. You mentioned recurring revenue. I think that might be the key point here. Could you maybe give me a couple of examples? Is the recurring revenue, and also circling back to the usage model you mentioned a little bit? After Palantir customers started using your product, and then there is a recurring usage piece to that. Does it expand over time? Day one after Palantir, you are using, I don't know, low seven figures a year, and then fast-forward 24 months, does it increase, or it stays flat? I think that might be explaining why Palantir is seeing all the explosion of growth and other IT services, they just don't have the recurring product revenue, if you will.

Expert 00:36:55
Yeah. First of all, you don't need an increase in that revenue growth in order for you to compound that revenue. If an FDE goes in and does that, even if that low seven figures a year stays flat, that's still that metric.The FDE goes somewhere else, and he creates another million dollars a year. Those million dollars are pretty flat streams that will continue. You don't need that to grow. In terms of growth, typically that growth will generally happen via FDEs. As far as I know, and I could be wrong, usually contracts will not grow automatically.

Generally speaking, during the pilot phase, Palantir will offer, let's say, maybe a discount. There will be an opt-in date and stuff. Many of the boot camps are free. Beyond that, Palantir charges a particular fee, and that fee doesn't automatically go up. The fee will go up at the end of the pilot because there was a discount that expires, but that's about it. The fee will remain flat. Based on my knowledge, the only way the fee goes up is if the forward-deployed engineers go and find additional use cases for the customer. For that, we are only talking about the per usage fee. If their usage itself is increasing, then yes, obviously, the fee is increasing.

As they use the platform more and more, their fees will increase because, again, their per unit usage cost is the same. The per unit usage cost only goes up if Palantir FDEs can prove additional value. There are two mechanisms of that low seven figures. One is that, hey, if they use that platform more, meaning if their own business grows, and they are using that platform more and more, they are doing more compute, that metric will grow.

I think the real growth would happen when the FDEs go in and they increase that rate. Let's say it was $10 per GB or whatever. If they can increase that to $20 per GB or whatever, and that they will do with better use cases, like additional use cases and so on.

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Client 00:39:13

That makes sense to me. The usage fee, you use 10 GB of storage and compute, and then FDE might figure out other ways, other use cases for the customer to consume more of Palantir projects. That 10 GB becomes 20 GB, 30 GB in a year or two. That's the growth basically.

Expert 00:39:35

Yep.

Client 00:39:36

Okay. Let me ask you this one, just to quantify this a little bit better for me. Let's say in the prior example you gave me, two Deltas and two Echos. Let's say that the four of you work together for half a year, so that's low seven figures on the FDE fees. After you guys leave, what's the recurring revenue compared to the low seven figures of forward deployment engineers for this project?

Expert 00:40:01

Yeah. I think the recurring revenue would very much be based on usage. Typically, it's priced as a way, there is a minimum and then there is some kind of a usage thing. Typically for enterprise, I didn't see any contracts definitely not lower than low seven figures a year. Keep in mind, Palantir does have a particular start-up program. I think it's called AIP for Builders. In that case, they will offer Palantir licenses for as low as low six figures per year. That's the lowest I have seen from Palantir itself. Now, these third-party Palantir consulting firms, they will often offer Palantir services in a piggybacked way, and Palantir is okay with it.

Palantir is really good with separating departments in a company, so hey, we have taken a company and we can separate the departments so that no department can see the other department's data. They will do the same thing. Instead of departments, they will have separate customers. They will have three different companies, each being in a "department". It's called a namespace. They usually have their own namespace. Each will split the Palantir platform fee because there are these minimum fees, so that they don't have to pay these massive minimum fees up front.

Client 00:41:25

Okay. For the example we talked about, four people from Palantir for a low seven figure project, the recurring product revenue is usually in a range of low seven figures per year. That's basically the same size.

Expert 00:41:41

That's the starting point. It can be a lot higher than that. It often is a lot higher than that, but that's usually the small size scheme. It can be millions, tens of millions a year. Palantir has these massive partnerships with Airbus and British Petroleum and so on, United Airlines. I don't know how much they are paying, but they are definitely not paying a couple million a year. I think a lot more.

Client 00:42:09

Yeah. I am thinking of this relatively speaking. At the forward-deployed engineers, the few people you send into a customer, they charge you low seven figures and then the recurring product after these four people left, it can be a multiple of the low seven figures you charge initially, and that's the piece that's growing with usage. I think that explains why Palantir is seeing all the acceleration and triple-digit growth than other IT service companies, they do not, because they do not have a product. There is barely anything recurring.

Expert 00:42:43

Yeah. They have recurring stuff, but it's not a low margin recurring. In order for it to be recurring, they have to continuously staff some engineers there.

Client 00:42:56

Cool. I think I got all the information I need today. This is extremely helpful, extremely insightful. Thank you again for spending time with me today.

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